Middleton's reported cigars shipment volume for 2012 decreased 0.7% due primarily to changes in trade inventories, partially offset by volume growth as a result of retail share gains.

In the cigarette category, *Marlboro*'s 2012 retail share performance continued to benefit from the brand-building initiatives supporting *Marlboro*'s new architecture. *Marlboro*'s retail share for 2012 increased 0.6 share points versus 2011 to 42.6%. In January 2013, PM USA expanded distribution of *Marlboro* Southern Cut nationally. *Marlboro* Southern Cut is part of the *Marlboro* Gold family.

PM USA's 2012 retail share increased 0.8 share points versus 2011, reflecting retail share gains by *Marlboro* and by *L&M* in Discount. These gains were partially offset by share losses on other portfolio brands.

In the machine-made large cigars category, *Black & Mild*'s retail share for 2012 increased 0.5 share points. The brand benefited from new untipped cigarillo varieties that were introduced in 2011, *Black & Mild* seasonal offerings and the 2012 third-quarter introduction of *Black & Mild* Jazz untipped cigarillos into select geographies. In December 2012, Middleton announced plans to launch nationally *Black & Mild* Jazz cigars in both plastic tip and wood tip in the first quarter of 2013.

The following discussion compares smokeable products segment results for the year ended December 31, 2011 with the year ended December 31, 2010.

Net revenues, which include excise taxes billed to customers, decreased $221 million (1.0%) due to lower shipment volume ($1,051 million), partially offset by higher net pricing ($830 million), which includes higher promotional investments.

Operating companies income increased $119 million (2.1%), due primarily to higher net pricing ($831 million), which includes higher promotional investments, marketing, administration, and research savings reflecting cost reduction initiatives ($198 million) and 2010 implementation costs related to the closure of the Cabarrus, North Carolina manufacturing facility ($75 million), partially offset by lower volume ($527 million), higher asset impairment and exit costs due primarily to the 2011 Cost Reduction Program ($158 million), higher per unit settlement charges ($120 million), higher charges related to tobacco and health judgments ($87 million) and higher FDA user fees ($73 million).

For 2011, total smokeable products shipment volume decreased 4.0% versus 2010. PM USA's reported domestic cigarettes shipment volume declined 4.0% versus 2010 due primarily to retail share losses and one less shipping day, partially offset by changes in trade inventories. After adjusting for changes in trade inventories and one less shipping day, PM USA's 2011 domestic cigarette shipment volume was estimated to be down approximately 4% versus 2010. PM USA believes that total cigarette category volume for 2011 decreased approximately 3.5% versus 2010, when adjusted primarily for changes in trade inventories and one less shipping day.

PM USA's total premium brands (*Marlboro* and Other Premium brands) shipment volume decreased 4.3%. *Marlboro*'s shipment volume decreased 3.8% versus 2010. In the Discount brands, PM USA's shipment volume decreased 0.9%. PM USA's shipments of premium cigarettes accounted for 93.7% of its reported domestic cigarettes shipment volume for 2011, down from 93.9% in 2010.

Middleton's 2011 reported cigars shipment volume was unchanged versus 2010.

For 2011, PM USA's retail share of the cigarette category declined 0.8 share points to 49.0% due primarily to retail share losses on *Marlboro*. *Marlboro*'s 2011 retail share decreased 0.6 share points. In 2010, *Marlboro* delivered record full-year retail share results that were achieved at lower margin levels.

Middleton retained a leading share of the tipped cigarillo segment of the machine-made large cigars category, with a retail share of approximately 84% in 2011. For 2011, Middleton's retail share of the cigar category increased 0.3 share points to 29.7% versus 2010. *Black & Mild*'s 2011 retail share increased 0.5 share points, as the brand benefited from new product introductions. During the fourth quarter of 2011, Middleton broadened its untipped cigarillo portfolio with new Aroma Wrap™ foil pouch packaging that accompanied the national introduction of *Black & Mild* Wine. This new fourth-quarter packaging roll-out also included *Black & Mild* Sweets and Classic varieties.

During the second quarter of 2011, Middleton entered into a contract manufacturing arrangement to source the production of a portion of its cigars overseas. Middleton entered into this arrangement to access additional production capacity in an uncertain competitive environment and an excise tax environment that potentially benefits imported large cigars over those manufactured domestically.

Smokeless Products Segment

The smokeless products segment's operating companies income grew during 2012 driven by higher pricing, *Copenhagen* and *Skoal*'s combined volume and retail share performance and effective cost management.

The following table summarizes smokeless products segment shipment volume performance:

	Shipment Volume For the Years Ended December 31,		
(cans and packs in millions)	**2012**	**2011**	**2010**
Copenhagen	**392.5**	354.2	327.5
Skoal	**288.4**	286.8	274.4
Copenhagen and Skoal	**680.9**	641.0	601.9
Other	**82.4**	93.6	122.5
Total smokeless products	**763.3**	734.6	724.4

Volume includes cans and packs sold, as well as promotional units, but excludes international volume, which is not material to the smokeless products segment. Other includes certain USSTC and PM USA smokeless products. New types of smokeless products, as well as new packaging configurations